LEADING PEOPLE & CHANGE

Exam Study Guide

International MBA — Core II

IE Business School — IE University

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Sessions 1–12 | IMBA SEP-2025 S-4

Key Themes: Talent Management System Design — Job Design & Motivation
Recruiting & Selection — Performance Management — Compensation & Incentives
Alternative Rewards & Psychological Safety — Self-Management & Hierarchy
Managerial Roles — Agile Transformation — Organizational Restructuring

Cases Covered: Southwest Airlines — Jennifer Henderson — Pirate Organization
SG Cowen — Woolworths — Safelite Auto Glass — SAS Institute
Morning Star — Google Project Oxygen — Netflix — ING Agile — Amazon

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Chapter 1

Designing a Talent Management System

Sessions 1–2: Introduction — The Importance of Alignment and Coherence

1.1 Baron & Kreps: The Five-Factor Alignment Framework

Baron & Kreps Strategic HR Alignment Model

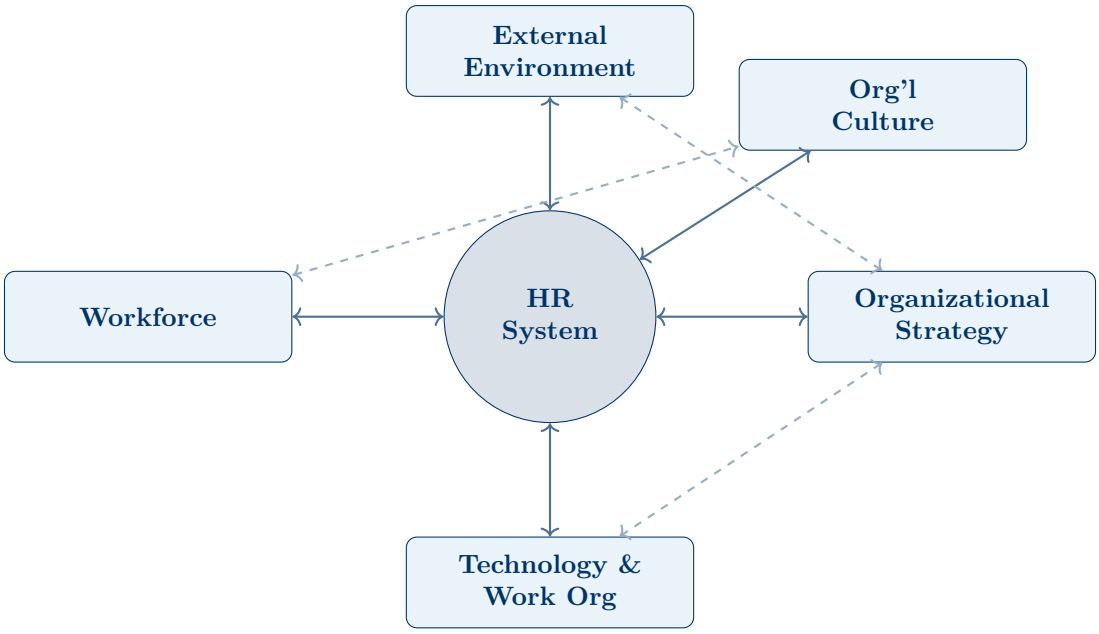
Organizations must achieve **alignment** between HR policies and five environmental factors to create sustainable competitive advantage. No HR practice works in isolation—each must reinforce the others and fit the broader strategic context.

The Five Factors:

1. **External Environment:** Social, political, legal, and economic context
2. **Workforce:** Culture, occupations, demographics of the labor pool
3. **Organizational Culture:** Hierarchical vs. egalitarian; cooperative vs. competitive; intrinsic vs. extrinsic reward orientation
4. **Organizational Strategy:** Distinctive competencies, sources of competitive advantage, long-term objectives (growth, market share, niche), financial strategy
5. **Technology of Production & Work Organization:** How work is structured and executed

Key Principles:

- **Internal Consistency:** HR practices must reinforce each other (e.g., team-based pay with collaborative culture)
- **External Fit:** HR system must align with strategy, market, and environment
- **Coherence Over "Best Practices":** There is no universally optimal HR system—the best system is one where all elements are aligned



Use this framework whenever asked to evaluate whether an HR system "makes sense" for an organization. Walk through all five factors and check for alignment and internal consistency. It is the **master framework** of the course.

- Copying "best practices" from another firm without checking alignment with your own five factors
- Designing HR policies in isolation (e.g., introducing pay-for-performance in a cooperative, team-based culture)
- Ignoring the external environment—legal, social, or economic constraints
- Assuming that what worked in the past will continue to work as strategy or technology changes

1.2 Erin Meyer: Build a Corporate Culture That Works

Building Effective Corporate Culture

Corporate culture must be **functional**—designed to support the business strategy, not merely reflect leader preferences. Meyer's framework emphasizes:

- **Define culture through behaviors, not values:** Abstract value statements (e.g., "integrity") are meaningless unless translated into specific, observable behaviors
- **Align culture with strategy:** Culture should enable the distinctive competencies your strategy requires
- **Build mechanisms to sustain culture:** Hiring, onboarding, performance evaluation, and promotion decisions must all reinforce desired behaviors
- **Challenge the culture when it becomes dysfunctional:** Cultures can drift or become

obstacles to necessary change

Diagnostic Questions

1. What specific **behaviors** define our culture (not just values on a poster)?
2. Do our hiring, evaluation, and promotion criteria reinforce these behaviors?
3. Has our culture drifted from what our strategy actually requires?
4. Are leaders **role-modeling** the culture they espouse?

1.3 Case: Southwest Airlines (HR1A)

Case: Southwest Airlines

Context: Southwest Airlines built a highly successful, low-cost carrier model through a distinctive people-management strategy that aligned all HR practices with its competitive strategy.

Core Challenge: How to sustain competitive advantage through people in a cost-sensitive, commodity-like industry while maintaining growth and culture.

Frameworks Applied: Baron & Kreps Alignment; Meyer's Culture Framework

Key Decisions & Actions:

- Hired for attitude and cultural fit ("Hire for attitude, train for skill")
- Cross-functional job design—employees trained to perform multiple roles (e.g., pilots helping clean aircraft) boosting task identity and variety
- Profit-sharing and team-based incentives aligned with cooperative culture
- Minimal hierarchy, direct communication, open-door leadership
- Fun, informal culture as a strategic differentiator (not a gimmick)

Outcomes: Consistently profitable (31+ consecutive years at time of case), lowest cost structure in industry, highest employee satisfaction and lowest turnover.

Transferable Lessons:

- All HR practices must form a coherent, mutually reinforcing system
- Culture is a source of competitive advantage *only if* aligned with strategy
- Internal consistency matters more than any single "best practice"
- Sustaining culture during growth requires deliberate effort—it does not happen automatically

Chapter 2

Motivation Through Job Design

Sessions 3–4: Intrinsic Motivation, the Job Characteristics Model, and Strategic Workforce Management

2.1 The Job Characteristics Model (Hackman & Oldham)

Job Characteristics Model (JCM)

The JCM identifies five core job dimensions that drive three critical psychological states, which in turn produce positive work outcomes:

Five Core Dimensions:

1. **Skill Variety:** Degree to which a job requires different skills and talents
2. **Task Identity:** Degree to which a job requires completing a whole, identifiable piece of work from start to finish
3. **Task Significance:** Degree to which the job has a substantial impact on others' lives or work
4. **Autonomy:** Degree to which the job provides freedom in scheduling and determining procedures
5. **Feedback:** Degree to which the job itself provides direct, clear information about performance effectiveness

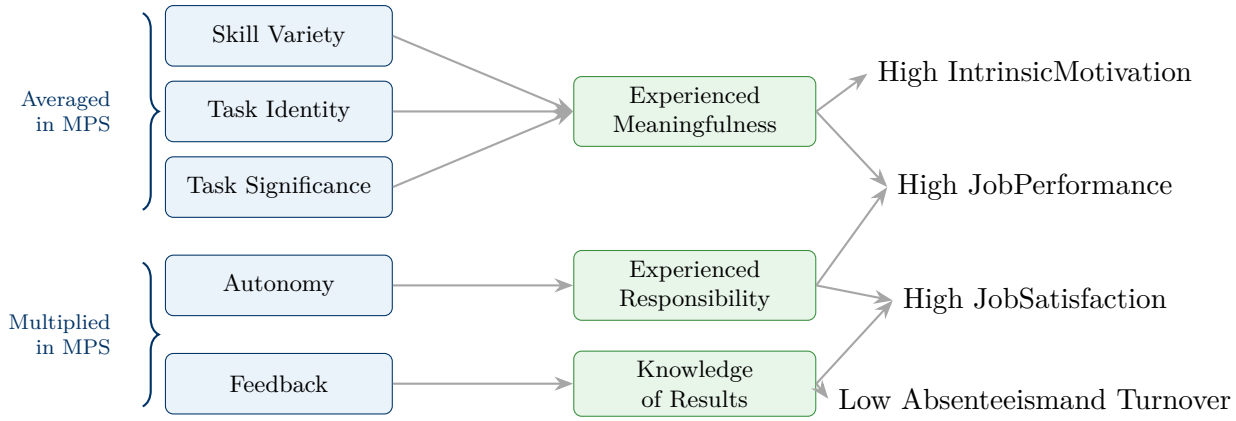
Critical Psychological States:

- Skill Variety + Task Identity + Task Significance → **Experienced Meaningfulness**
- Autonomy → **Experienced Responsibility**
- Feedback → **Knowledge of Results**

Motivating Potential Score (MPS):

$$MPS = \left(\frac{SkillVariety + TaskIdentity + TaskSignificance}{3}\right) \times Autonomy \times Feedback$$

Because Autonomy and Feedback are **multiplied**, a zero in either collapses the entire score—they are non-negotiable.



2.1.1 Empirical Correlations (Fried Meta-Analysis)

Dimension	Correlation w/ Satisfaction	Correlation w/ Results
Skill Variety	.67	.09
Task Identity	.32	.13
Autonomy	.71	.18
Feedback	.56	.21

Key insight: Autonomy is the strongest driver of satisfaction; Feedback is the strongest driver of results. Skill Variety has high satisfaction impact but near-zero results impact—enriching a job with variety alone is insufficient.

2.1.2 Strategies for Improving Jobs

Dimension	Intervention Strategy
Skill Variety	Rearrange tasks so workers perform a broader variety of activities
Task Identity	Allow workers to see a single task through from start to finish
Task Significance	Build customer relationships (internal and external) to show impact
Feedback	Create channels for direct feedback from the work itself
Autonomy	Delegate authority; let workers decide *how* to do their jobs

Use the JCM to diagnose why workers are demoralized or disengaged. Compute the MPS. If the score is low, identify which dimensions are the bottleneck and apply targeted interventions. Always prioritize Autonomy and Feedback since they are multipliers.

- Adding variety without autonomy does not improve motivation (it just makes work busier)
- Over-monitoring (e.g., Amazon wristbands) destroys autonomy and can reduce productivity through the **Transparency Paradox**—excessive observation triggers hiding behavior and reduces productive deviance

- The China factory experiment showed that a modest increase in privacy increased performance 10–15%; workers need zones of experimentation
- Individual differences matter: not all workers respond equally to enriched jobs

2.2 The Transparency Paradox & Privacy at Work

Transparency Paradox (Bernstein)

Increasing observability in the workplace may paradoxically **reduce** transparency and performance:

- Workers under constant surveillance engage in harder-to-detect hiding behavior (quota restriction, impression management)
- A China mobile phone factory experiment showed that lines shielded by curtains outperformed unshielded ones by 10–15%
- Privacy enables **productive deviance**: experimenting with process improvements before explaining them to management
- **Implication:** Managers must balance transparency with privacy—trust and autonomy zones can boost, not harm, productivity

2.3 Empowerment & Worker Scheduling

The Gap scheduling experiment showed that giving workers control over their schedules via a shift-swapping app led to:

- 95% of workers said it helped adjust work to their needs
- 5.1% productivity increase (3.3% sales increase + 1.8% labor efficiency)
- Saved 10+ hours per week of supervisor time

Lesson: Small increases in autonomy can produce disproportionate performance gains.

2.4 "A Players" or "A Positions" (Huselid, Beatty & Becker)

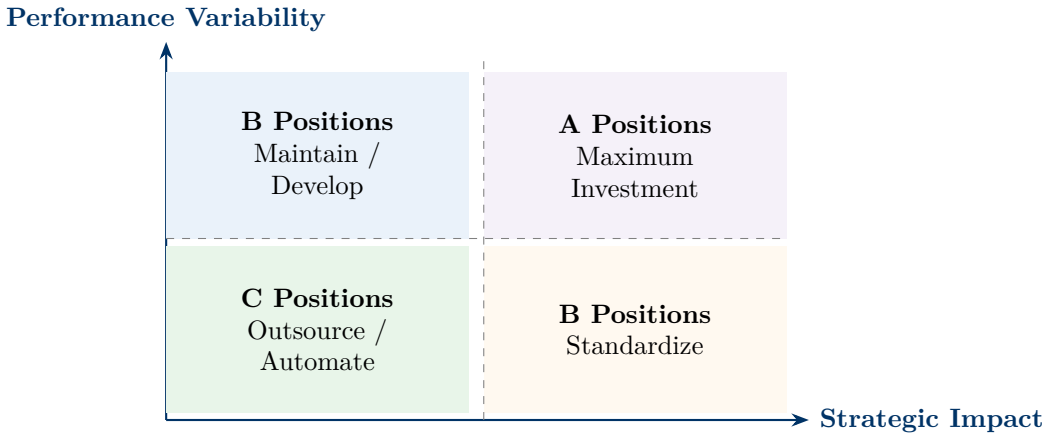
Strategic Workforce Differentiation

Not all jobs contribute equally to strategy. Organizations should classify positions into three tiers:

- **A Positions:** Strategically critical roles with high performance variability—disproportionate impact on value creation. Invest the most in these roles.
- **B Positions:** Important support roles that are necessary but with lower strategic impact and less performance variability.
- **C Positions:** Can potentially be outsourced, automated, or eliminated—minimal strategic contribution.

Key Insight: The strategic question is not "Who are our best people?" but "Which *positions* create the most strategic value?" Then invest disproportionately in hiring and developing

talent for those positions.



2.5 Case: Jennifer Henderson at Trustworthy Trust

Case: Jennifer Henderson — Trustworthy Trust Company

Context: Large US bank where junior analysts in the International Division work in a crowded "bullpen," writing reports they never see the results of, under supervisors who act as "super-analysts" rather than managers.

Core Challenge: Over half of junior analysts leave within 18–30 months, citing boredom, poor working conditions, lack of feedback, and no visibility into impact of their work.

Framework Applied: Job Characteristics Model

JCM Diagnosis:

- **Skill Variety:** Moderate—but repetitive data gathering tasks
- **Task Identity:** Very low—analysts write fragmented reports, never see complete outcomes
- **Task Significance:** Very low—no feedback on whether reports influence decisions
- **Autonomy:** Very low—supervisors rewrite reports, make all decisions
- **Feedback:** Very low—reports disappear; no connection to outcomes

MPS Assessment: Near zero (Autonomy ≈ 0 collapses the entire score)

Transferable Lessons:

- When talented MBAs leave quickly, look at job design *before* blaming individuals
- Supervisors who do the work instead of managing destroy autonomy and development
- Physical environment (bullpen vs. luxurious senior offices) sends powerful signals about who is valued
- Senior managers' high satisfaction is explained by their high JCM scores (travel, autonomy, significance)

2.6 Case: Pirate Organization (Leeson)

Case: The Law and Economics of Pirate Organization

Context: 18th-century pirate ships as organizational case studies in governance design.

Core Challenge: How to organize for cooperation and prevent leader predation in the absence of external enforcement mechanisms.

Key Organizational Innovations:

- **Democratic constitutions:** Pirate articles were agreed upon by all crew members before voyages
- **Separation of powers:** Captain held authority only in battle; the Quartermaster managed day-to-day operations and represented crew interests
- **Checks and balances:** Captains could be deposed by vote; compensation was relatively egalitarian (captain earned 1.5–2x a regular sailor vs. merchant captains' 5x+)
- **Transparent incentives:** Clear, pre-agreed rules for distributing plunder

Transferable Lessons:

- Well-designed governance structures can align incentives even among self-interested actors
- Concentrated authority without accountability leads to predation—separation of powers matters
- Fairness norms (relatively equal pay, democratic voice) reduce conflict and increase cooperation
- Organizational design principles are universal—context changes, but human incentive problems are constant

Chapter 3

Performance Management: Recruiting & Selection

Session 5: Talent Acquisition, Information Asymmetries, and the Portability Myth

3.1 The Recruiting & Selection Game: Information Asymmetries

Recruiting as Information Problem

Recruiting and selection are processes plagued by **information asymmetries**. Candidates know far more about their own suitability than the employer, yet have strong incentives not to reveal weaknesses.

Mechanisms to reduce asymmetry:

- **Signaling:** Degrees, certifications, and prior experience serve as signals—the granting institution acts as a filter
- **Filtering:** Requiring candidates to initiate the process (shows motivation); structured interviews; work samples; assessment centers
- **Structured interviews** outperform unstructured interviews—they ensure consistency, reduce bias, and improve prediction
- **"Always be recruiting":** The best firms recruit proactively, not reactively

GenAI Implications: AI-driven tools may reduce some asymmetries but also create new opportunities for candidates to game the system (e.g., AI-optimized resumes). Data on AI-driven TA tools is still limited.

3.2 The Myth of Portable Talent (Groysberg et al.)

Portability of Star Performance

Key Finding: Star performers' success is **rarely portable**. A study of 1,000+ Wall Street investment analysts found that performance typically drops for 3–5 years after switching firms.

Why Performance Declines:

- Success relies on the prior firm's teams, data, processes, reputation, and networks
- These resources *do not transfer* with the individual

What Improves Outcomes:

- Moving with their teams
- Lateral moves to similar firms
- Strong onboarding and rapid network integration

The Formula: $Performance = Talent \times OrganizationalContext$

HR Implications:

- Don't expect plug-and-play performance from external hires
- Evaluate the *performance architecture* behind any star
- Rebuild the support ecosystem at the new firm
- Protect and develop internal talent systems ("internal candidates first" strategy)

3.3 Why Employees Quit (Bernstein, Horn & Moesta)

Understanding Employee Turnover

Most recruiting problems are actually **retention** problems. Cappelli's key insight: most recruiting initiatives are a consequence of poor retention. Proper exit interviews are critical.

Key Findings:

- Employees don't just leave *from* bad jobs—they leave *to* something they perceive as better
- Understanding the "push" and "pull" factors is essential
- **Fit is a double-edged sword:** Define your culture and the behaviors that sustain it, but also ask hard questions about whether your culture is functional for your strategy—not just a set of leader preferences

3.4 Key Take-Aways from "The Definitive Guide to Recruiting"

Recruiting Strategy Checklist

1. Anticipate talent needs *before* positions open
2. Specify the job clearly—distinguish must-haves from nice-to-haves
3. Cast a wide net using diverse sourcing channels
4. Use **structured interviews** with predetermined criteria
5. Assess cultural fit alongside skills—but ensure "fit" doesn't become a proxy for homogeneity
6. Close the deal: selling the opportunity is as important as evaluating the candidate
7. Integrate new hires quickly with strong onboarding
8. Conduct exit interviews to learn why people leave—fix retention before spending on recruiting

3.5 Case: SG Cowen — New Recruits

Case: SG Cowen — New Recruits

Context: SG Cowen, a mid-tier investment bank, must decide which candidates to hire from a pool of finalists during their annual recruiting process.

Core Challenge: With limited hiring slots, the recruiting committee must choose between candidates with different strengths—pedigree vs. passion, prestige schools vs. entrepreneurial grit.

Framework Applied: Information Asymmetry; Signaling Theory; Cultural Fit

Key Decisions:

- Company chose to recruit from "non-core" schools where SG Cowen was a top employer, gaining access to motivated candidates that larger banks overlooked
- The structured Super Saturday interview process attempted to standardize evaluation
- Final decisions required weighing conflicting signals: GPA, school prestige, work experience, personality

Transferable Lessons:

- Recruiting strategy should align with the firm's market position—SG Cowen could not compete for the same candidates as Goldman Sachs
- Structured processes reduce (but don't eliminate) bias and inconsistency
- Fit matters, but must be defined precisely—vague notions of "chemistry" introduce bias
- Dissenting voices in hiring committees should be heard—overruling concerns can lead to bad hires

Chapter 4

Performance Management: Evaluation

Session 6: Evaluation Systems, Engineered Standards, and the Performance Management Revolution

4.1 The Performance Management Revolution (Cappelli & Tavis)

Evolution of Performance Management

Traditional annual performance reviews are being replaced by more agile, continuous feedback systems. Key shifts:

- **From annual to continuous:** Regular check-ins replace annual reviews
- **From backward-looking to forward-looking:** Focus on development and coaching rather than rating past performance
- **From ranking to development:** Forced ranking systems (e.g., GE's "rank and yank") are being abandoned
- **From HR-owned to manager-led:** Managers become coaches, not just evaluators

Why the shift?

- Agile work demands faster feedback cycles
- Annual reviews provide information too late to be useful
- Ratings cause defensiveness and undermine learning
- Traditional systems consume enormous managerial time with little proven value

But: Performance management cannot simply be abolished—compensation decisions still require differentiation, and some form of structured assessment remains necessary.

4.2 The Politics of Performance Appraisal

Politics Behind the Mask

Performance appraisal is never a purely objective, technical exercise—it is inherently **political**:

- Managers inflate ratings to avoid confrontation, maintain relationships, and protect their teams
- Managers deflate ratings to punish, send signals, or protect budget allocations
- The evaluator's goals may conflict with the system's stated purpose
- Political dynamics are amplified when evaluations are tied to compensation or career advancement

Implication: Design systems that acknowledge political realities rather than assuming objective measurement is possible.

When analyzing a performance management system, always ask: **(1)** What are the *stated* objectives? **(2)** What are the *actual* objectives as revealed by how the system is used? **(3)** Whose interests does the system serve? **(4)** What behaviors does it actually incentivize?

4.3 Case: Woolworths — Engineered Standards

Case: Woolworths' Dilemma — Performance Management Through Engineered Standards

Context: Woolworths (Australia) implemented a "Coaching and Productivity Framework" using engineered standards in its distribution centers, measuring and monitoring worker performance against precise time-motion benchmarks.

Core Challenge: The system provoked intense negativity from employees and union resistance—perceived as surveillance and dehumanization rather than "coaching."

Framework Applied: JCM (autonomy destruction); Politics of Performance Appraisal; Transparency Paradox

Key Issues:

- Engineered standards measured output in minute detail, destroying worker autonomy
- The "coaching" label masked a surveillance and control system
- Workers felt treated as machines—echoing the Amazon wristband dynamic
- Union disputes over fairness, health impacts, and worker dignity

Transferable Lessons:

- Performance systems must balance measurement with motivation—excessive monitoring destroys intrinsic motivation
- Labeling a control system as "coaching" does not make it developmental
- Employee voice and participation in system design increase acceptance
- The more tightly you monitor, the more you push behavior toward gaming metrics rather than genuine performance

- Assuming performance can be measured purely objectively
- Ignoring the political dimension of evaluation—raters have their own interests
- Using evaluation systems primarily for control rather than development
- Conflating what is measurable with what is important
- Applying industrial-era measurement systems (time-and-motion) in knowledge or service work

Chapter 5

Motivation Through Incentives

Session 7: Pay-for-Performance, Compensation Design, and the Good Jobs Strategy

5.1 Four Drivers of Wage Setting (Dubin)

Four Drivers of Wage Setting

Wages are not set purely by supply and demand. Four forces shape compensation:

1. **Power:** Collective bargaining, institutional regulation (public and private), social prestige, and ideological factors
2. **Inertia:** Employers take legacy pay scales for granted and make only incremental adjustments
3. **Mimicry:** Employers survey industry pay practices and follow suit—market rate often reflects "common practice" more than supply and demand
4. **Equity:** Employers are strongly bound by prevalent norms of fair pay

5.2 Six Dangerous Myths About Pay (Pfeffer)

Pfeffer's Six Myths

Jeffrey Pfeffer identifies six widely held but dangerous misconceptions:

1. **Myth: Labor rates = labor costs.** Reality: Labor *costs* depend on productivity, not just rates. Higher-paid workers can be cheaper per unit of output.
2. **Myth: Cutting labor rates cuts labor costs.** Reality: Cutting pay often increases turnover, lowers morale, and raises total costs.
3. **Myth: Labor costs are a significant portion of total costs.** Reality: In many industries, labor is a small percentage—yet gets disproportionate cost-cutting attention.
4. **Myth: Low labor costs create competitive advantage.** Reality: Firms like Costco, Southwest, and SAS compete through high-performance work systems, not low wages.
5. **Myth: Individual incentive pay improves performance.** Reality: Individual incentives often undermine teamwork, encourage gaming, and create destructive competition.
6. **Myth: People work primarily for money.** Reality: Intrinsic motivation, meaningful work, fairness, and growth opportunities often matter more.

5.3 What Monetary Rewards Can and Cannot Do (Aguinis et al.)

Monetary Rewards: Capabilities and Limits

What money CAN do:

- Attract and retain talent (sorting mechanism)
- Signal what the organization values
- Direct attention to specific goals
- Reinforce desired behaviors when used alongside non-financial rewards

What money CANNOT do:

- Substitute for poor management or meaningless work
- Sustainably motivate when intrinsic motivation is absent
- Buy loyalty or engagement
- Compensate for lack of fairness, respect, or development

5.4 Pay-for-Performance Design (Fulmer, Gerhart & Kim)

PFP Design Checklist

1. **Set clear goals and consequences:** Ensure desired performance yields short- and long-term pay increases
2. **Pay attention to signaling effects:** PFP is a sorting mechanism—employees and candidates must understand objectives and their own capacity to achieve them
3. **Expect more unintended consequences as intensity increases:** Larger payouts require closer monitoring
4. **Consider multiple measures:** Use behavior-based measures (not just output/outcome) to reduce gaming and account for unexpected factors
5. **Address organizational specificities:** If dependent on stars, PFP must reward them; if outcomes are team-dependent, avoid excessively individualized PFP
6. **Be careful with exceptions:** Exceptions for low or high performers can undermine credibility

5.5 Pay Transparency (Cullen)

Pay Transparency Implications

Horizontal Transparency (knowing what peers earn):

- When lesser-paid employees learn about unjustified gaps, they reduce effort and cooperation
- Full transparency can shift bargaining power *to employers*—if everyone earns the same non-negotiable wage, the firm sets the terms
- In low-unionization occupations, transparency mandates were followed by significant wage *reductions*

Vertical Transparency (knowing what superiors earn):

- People systematically underestimate what their superiors earn
- Transparency about higher-level pay can positively impact expected future earnings and motivation (if upward mobility exists)

Inter-firm Transparency (salary benchmarking):

- Employers with high-quality benchmarking data converge pay toward median market pay, reducing inequality by 25%+
- Wages for lower-skill hires rose 6%, with retention boosts of 16%

5.6 Cost Minimization vs. Involvement Maximization

Good Jobs Strategy (Zeynep Ton)

Two fundamental approaches to workforce strategy in service/retail:

Cost Minimization (cMin):

- Reduce wages, training, and job scope
- Short-term efficiency gains but low commitment, high turnover

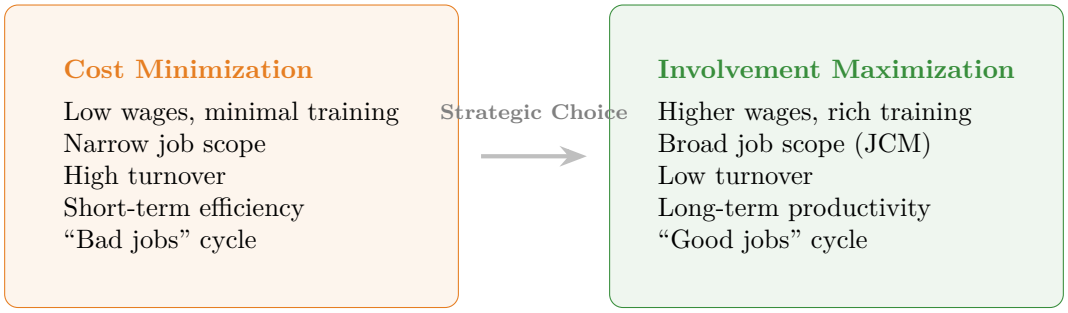
Involvement Maximization (iMax):

- Maximize engagement, skills, and discretion
- Long-term productivity, satisfaction, and innovation
- Requires: cross-training, insourcing maintenance, workload smoothing, capability buffers

Key Lever—Task Richness: Variety, discretion, and learning opportunities (links directly to JCM). Examples: Mercadona, QuikTrip—empowerment + standardization; in-store innovations tested locally and scaled centrally.

Barriers to iMax: Demand variability (no inventory buffer in services); unstable scheduling; lack of cross-functional coordination.

Solution: Build "capability buffers" through cross-training, insourcing, and workload smoothing.



5.7 Case: Safelite Auto Glass (A & B)

Case: Performance Pay at Safelite Auto Glass

Context: Safelite Auto Glass, the largest US auto glass repair/replacement company, moved from hourly wages to a piece-rate pay-for-performance plan (PPP) for installers.

Core Challenge: Whether to adopt PPP and how to manage consequences for productivity, turnover, morale, and quality.

Framework Applied: Pay-for-Performance Design; Pfeffer's Myths; cMin vs. iMax

Key Decisions & Results:

- Shifted from hourly pay to piece-rate with a guaranteed minimum (safety net)
- **Productivity:** Increased approximately 40% (combination of incentive and sorting effects)
- **Sorting effect:** High performers attracted to the firm; low performers self-selected out
- **Turnover:** Overall turnover *decreased* as top performers earned substantially more
- Quality initially maintained through warranty-based accountability—installers paid for defective re-dos
- Additional awards ("League of Superheroes") reinforced the system

Transferable Lessons:

- PFP works best when output is individually measurable, quality is verifiable, and workers have control over their pace
- The sorting effect is as important as the incentive effect—PFP attracts a different type of worker
- A guaranteed minimum protects workers and reduces resistance to adoption
- PFP does not automatically create "good jobs"—task richness, development, and fairness are also needed
- Context matters: Safelite's simple, measurable output (windshields installed) is unusual—most jobs lack such clear metrics

Chapter 6

Motivation Through Alternative Reward Systems

Session 8: Beyond Pay-for-Performance — Intrinsic Rewards and Psychological Safety

6.1 Psychological Safety (Edmondson / Gallo)

Psychological Safety

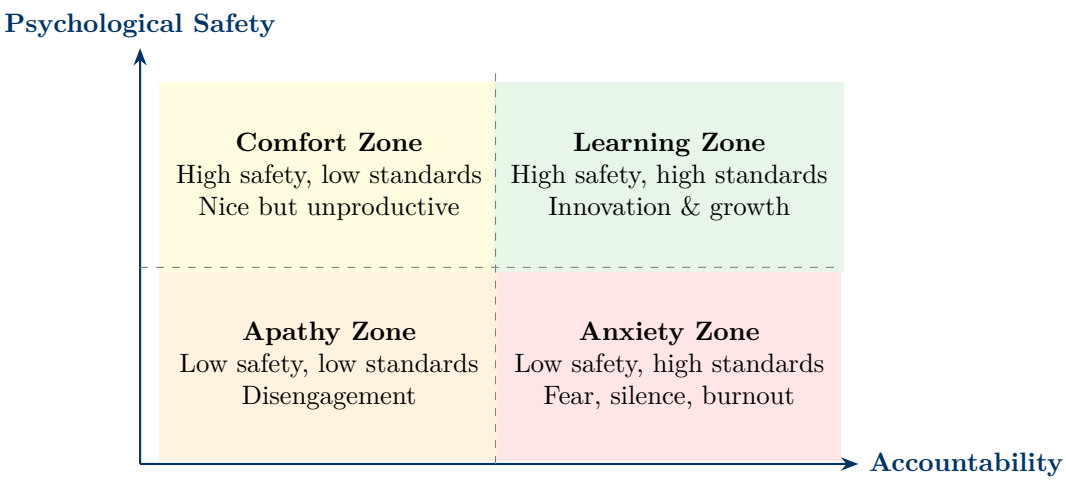
Definition: A shared belief held by team members that it is OK to take risks, express ideas and concerns, speak up with questions, and admit mistakes—all without fear of negative consequences. It is "felt permission for candor" (Edmondson).

Key Properties:

- It is a **group-level phenomenon**—not an individual trait
- It shapes **learning behavior** of the group, which affects team and organizational performance
- People within the same organization can have very different levels of psychological safety across teams
- It is **not** about being nice or lowering standards—it coexists with high expectations and accountability

What Leaders Can Do:

- Frame work as a learning problem, not an execution problem
- Acknowledge their own fallibility ("I may miss something—I need to hear from you")
- Model curiosity by asking questions ("What did you learn?" not "What went wrong?")
- Respond productively to bad news and mistakes
- Create explicit norms that encourage speaking up



Use this matrix to diagnose team dynamics. The **Learning Zone** (high safety + high accountability) is the target. If a team is in the Anxiety Zone, focus on building safety. If in the Comfort Zone, raise expectations and accountability.

6.2 Case: SAS Institute

Case: SAS Institute — A Different Approach to Incentives

Context: SAS Institute, the world's largest privately held software company, deliberately avoids pay-for-performance and stock options, instead investing heavily in employee benefits, work-life balance, and intrinsic motivation.

Core Challenge: How does SAS maintain high performance and low turnover (4% vs. 20% industry average) without individual incentive pay?

Framework Applied: JCM; Psychological Safety; Pfeffer's Myths; Baron & Kreps Alignment

Key Features of SAS HR System:

- 35-hour work weeks, on-site childcare, healthcare, recreation facilities
- No forced rankings or individual incentives
- Trust-based management—employees trusted to manage their time
- Rich, meaningful work (high JCM scores across all dimensions)
- Strong psychological safety—errors treated as learning opportunities
- Below-market base pay *but* extraordinary total rewards package

Outcomes: 4% turnover (saving $75M+ annually in replacement costs), consistently high innovation, strong financial performance.

Transferable Lessons:

- Non-monetary rewards can be more powerful than financial incentives *when* jobs are intrinsically motivating
- Psychological safety + meaningful work + trust = high performance without PFP
- The savings from low turnover can fund generous benefits—it is a *virtuous cycle*
- This model works best for knowledge workers with high intrinsic motivation—may not transfer directly to all contexts
- Alignment: SAS's entire system is internally consistent—removing any one element would undermine the whole

Chapter 7

Who Needs Managers?

Session 9: Self-Management, Flat Organizations, and the Challenge of Hierarchy

7.1 Self-Management at Scale

Self-Management Principles

Self-management replaces traditional hierarchy with peer-based coordination:

Core Mechanisms:

- **Colleague Letters of Understanding (CLOUs):** Bilateral agreements between colleagues defining mutual commitments and performance expectations (Morning Star model)
- **Peer-based conflict resolution:** Disputes escalate through structured processes—first direct conversation, then mediation, then panel
- **Radical transparency:** All financial and performance data accessible to all employees
- **Self-initiated roles:** Employees define their own roles and negotiate responsibilities with colleagues

Prerequisites:

- Strong organizational mission and shared values
- High-trust culture built over time
- Employees capable of self-direction and peer accountability
- Clear processes for coordination and conflict resolution

7.2 Challenges of Becoming Less Hierarchical (Anicich, Lee & Sánchez Celi)

Challenges of De-Hierarchization

Based on the Avinsa case, two types of dynamics complicate flattening:

Structural Dynamics:

- **Zombie structures:** Old hierarchical habits persist even after formal restructuring—informal power networks, legacy titles, habitual deference
- **Decision-making ambiguity:** Without clear authority, decisions slow down or fall through cracks
- **Coordination costs:** Flat structures require more communication and alignment effort

People Dynamics:

- **Identity threat:** Managers who lose formal authority feel devalued

- **Skill gaps:** Self-management requires competencies many employees don't have (negotiation, conflict resolution, self-direction)
- **Uneven adoption:** Some teams embrace autonomy while others resist or struggle
- **Free-rider problem:** Without clear accountability, some individuals underperform

- Assuming flat structure means *no* structure—coordination mechanisms are still essential
- Removing hierarchy without building replacement accountability systems
- Underestimating how deeply hierarchical habits are embedded in culture
- Assuming all employees want or are ready for self-management
- Ignoring "zombie structures"—the persistence of informal hierarchies after formal ones are removed

7.3 Case: Morning Star Company

Case: Morning Star Company — Self-Management at Work

Context: Morning Star, the world's largest tomato processor (40% US market share), operates with **zero managers**. Founded in 1970, it uses a fully self-managed model.

Core Challenge: How to maintain accountability, alignment, and coordination at scale without any traditional management hierarchy.

Key Mechanisms:

- **CLOUs:** Each employee writes a personal mission statement and negotiates bilateral agreements with every colleague they interact with
- **Peer accountability:** Performance is evaluated through peer-based processes; colleagues confront each other directly when commitments are unmet
- **Transparent financials:** All employees can see all financial data
- **Self-initiated compensation:** Employees propose their own pay, reviewed by elected peer committees
- **"Gaining processes":** Structured decision-making where anyone can initiate any change, but must consult all affected parties

Scalability Question:

- Works well in stable, process-oriented environments with a strong mission
- Challenges with rapid growth, complex/diverse operations, or workforces lacking self-management skills
- May be most applicable as inspiration for *elements* of self-management rather than full adoption

Transferable Lessons:

- Self-management is not "no management"—it replaces hierarchical control with peer-based coordination systems
- Requires extraordinary investment in culture, transparency, and conflict resolution pro-

cesses

- The CLOU system provides an alternative to traditional job descriptions that increases ownership and alignment
- Applicability depends heavily on organizational context (technology, workforce, culture)

Chapter 8

The Role of the Manager in Talent Management

Session 10: Module II — Leading Change. Google, Netflix, and Employee Feedback

8.1 Google's Project Oxygen: Eight Behaviors of Great Managers

Project Oxygen — 8 Behaviors

Google's data-driven research ("Do managers matter?") found they do—enormously. The project identified eight behaviors that distinguish great managers:

1. Is a good coach
2. Empowers the team and does not micromanage
3. Expresses interest in and concern for team members' success and personal well-being
4. Is productive and results-oriented
5. Is a good communicator—listens and shares information
6. Helps with career development
7. Has a clear vision and strategy for the team
8. Has key technical skills to advise the team

Key Insight: Technical expertise ranked *last*. The top behaviors are all about coaching, empowerment, and communication—reinforcing that management is fundamentally about people, not technical control.

8.2 Netflix Culture: Freedom & Responsibility

Netflix Culture Framework

Netflix's culture deck outlines a distinctive, high-performance approach:

Seven Aspects:

1. **Values:** Nine behaviors—Judgment, Communication, Impact, Curiosity, Innovation, Courage, Passion, Honesty, Selflessness
2. **High Performance:** "Adequate performance gets a generous severance package"—only exceptional performers are retained
3. **Freedom & Responsibility:** Maximum autonomy for those who demonstrate responsibility
4. **Context, Not Control:** Leaders provide context (strategy, metrics, assumptions) so employees can make good decisions independently

5. **Highly Aligned, Loosely Coupled:** Strategic alignment at the top; tactical freedom at the team level
6. **Pay Top of Market:** Pay at or above the highest competing offer—no bonuses needed when base pay is market-leading
7. **Promotions & Development:** Self-directed development; promotions based on demonstrated capability

Key Principle: Real company values are shown by who gets **rewarded, promoted, or let go**—not by what is written on the wall. (Contrast with Enron, which had "Integrity" as a core value.)

Comparing Google and Netflix: Both emphasize managerial empowerment and communication. Google is more structured (8 codified behaviors, training programs, upward feedback surveys). Netflix is more radical ("Context not Control," minimal policies, "keeper test"). Both reject micromanagement.

8.3 Turn Employee Feedback into Action (Burris et al.)

Employee Feedback Framework

Seven Challenges organizations face in translating feedback to action:

1. **Making sense of all that data:** Volume from pulse surveys, town halls, and data scraping overwhelms leaders
2. **Aligning diverse feedback channels:** Centralized HR surveys vs. localized unit-level feedback
3. **Separating signal from noise:** Identifying actionable insights in sea of opinions
4. **Closing the loop:** Employees stop responding if they see no changes resulting from feedback
5. **Manager capability:** Not all managers are equipped to act on employee feedback
6. **Balancing transparency with discretion:** What to share, with whom, and when
7. **Sustaining momentum:** Feedback-to-action must be a continuous process, not a one-time initiative

Key Principle: The gap between collecting feedback and acting on it erodes trust and engagement. If you ask, you must act.

Chapter 9

Twenty-First Century Work Organization

Session 11: Agile Transformation and Organizational Culture Change

9.1 ING's Agile Transformation Framework

ING Agile Transformation — The "Big Bang" Approach

ING Netherlands undertook a radical, company-wide agile transformation in June 2015:

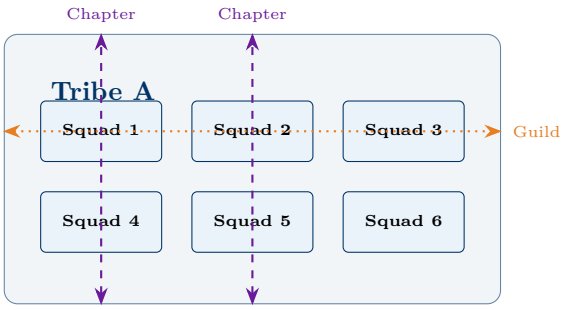
The Model: Adopted a modified "Spotify Model":

- **Squads:** Small, autonomous, cross-functional teams (8–10 people) with end-to-end responsibility
- **Tribes:** Collections of squads working on related areas (∼150 people max)
- **Chapters:** Functional communities across squads for skill development
- **Guilds:** Cross-tribe communities of interest for knowledge sharing

The "Big Bang" Decision: All changes implemented simultaneously rather than incrementally:

- 3,500 employees had to "re-apply" for 2,500 positions
- Physical redesign: open offices, no private offices (even for executives)
- Full HR process redesign for agile context

Rationale for Big Bang: "If you wait until you are ready to go, you will never move" (CEO van den Boogert). Incremental change allows resistance to build and old structures to persist.



9.2 ING Innovation Strategy (B Case)

ING Innovation: PACE Methodology & Three Horizons

Three Innovation Priorities:

1. Disrupt the core business
2. Go beyond banking (customer-centric, not product-centric)
3. Become a platform

PACE Methodology: Combines lean startup + design thinking + agile scrum, delivered through "accelerator" programs.

McKinsey Three Horizons of Growth:

- **H1:** Mature businesses—incremental innovation
- **H2:** High-growth businesses—scaling
- **H3:** New ventures—breakthrough potential

9.3 ING Cultural Transformation: The Orange Code (C Case)

The Orange Code — Culture Change Process

Three-Phase Process:

1. **Employee Survey:** 13,000 of 52,000 employees rated 100 workplace behaviors. Top 15 most valued behaviors were consistent across all locations.
2. **Management Workshops:** 1,200 senior leaders created ∼100 culture "manifestos" in six-hour workshops.
3. **Orange Code Creation:** Three simple behaviors, each with 4 bullet points:
   - "You take it on and make it happen" (Responsibility)
   - "Help others to be successful" (Collaboration)
   - "You're always a step ahead" (Agility)

Rollout via McKinsey's Four-Part Change Model:

1. Reasoning behind change
2. Role models providing examples
3. Reinforcement systems and processes
4. Skills training

Results: 100% awareness by Q4 2017; integrated into performance management; Kudos app: 34,000 users, 250,000 compliments.

Reasoning"Why change?" **Role Models**Leading by example **Reinforcement**Systems & processes **Skills**Training &development

- "Big Bang" change is high-risk: if the organization is not ready, it can create chaos and mass exodus

- Agile is a *means*, not an *end*—it must serve business objectives, not be adopted as a trend
- Re-application processes create enormous anxiety; communication and fairness are critical
- Cultural transformation cannot be mandated—it must be reinforced through daily behaviors, not just slogans
- Physical space redesign without cultural change is cosmetic

Chapter 10

Restructuring

Session 12: Responsible Restructuring and Automation

10.1 Strategies for Responsible Restructuring (Cascio)

Responsible Restructuring Framework

Wayne Cascio argues that restructuring through layoffs often **fails** to achieve its stated objectives:

Evidence Against Downsizing:

- Companies that downsize do not consistently outperform those that don't
- Survivor syndrome: remaining employees experience guilt, anxiety, reduced commitment
- Institutional knowledge loss is often irreplaceable
- Short-term cost savings are frequently offset by rehiring, overtime, and morale costs

Responsible Alternatives:

- Redeploy rather than terminate; use natural attrition
- Invest in retraining and reskilling
- Use restructuring as an opportunity to redesign work, not just cut headcount
- Maintain procedural and distributive justice throughout the process
- Communicate transparently and early

If Layoffs Are Necessary:

- Treat departing employees with dignity and respect
- Provide generous severance and outplacement support
- Communicate clearly with survivors about the rationale and future direction
- Rebuild trust through visible follow-through on commitments

10.2 Amazon Automation & Workforce Impact

Amazon Automation Case

Amazon's internal strategy documents reveal plans to fundamentally reshape its workforce through robotics:

Key Numbers:

- Goal: automate 75% of operations
- Expected to avoid hiring 160,000+ people in the US by 2027
- Shreveport warehouse (template): 1,000 robots, quarter fewer workers; aiming for half as

many

- Projected savings: 30 cents per item; $12.6 billion from 2025–2027

Strategic Implications:

- New roles emerging (robotics technicians at $24.45/hr vs. warehouse workers at $19.50/hr)—but far fewer positions
- Disproportionate impact on workers of color (Amazon warehouse workers 3x more likely to be Black)
- As Nobel laureate Daron Acemoglu noted: once Amazon demonstrates profitable automation, it will spread to others
- Internal discussion about language management: avoiding "automation" and "AI" in favor of "advanced technology" and "cobot"

Connection to Course Themes:

- Baron & Kreps: Technology of production fundamentally changes the alignment equation
- Good Jobs Strategy: Automation pushes toward Cost Minimization unless deliberately designed otherwise
- Responsible Restructuring: Amazon's approach contrasts sharply with Cascio's recommendations

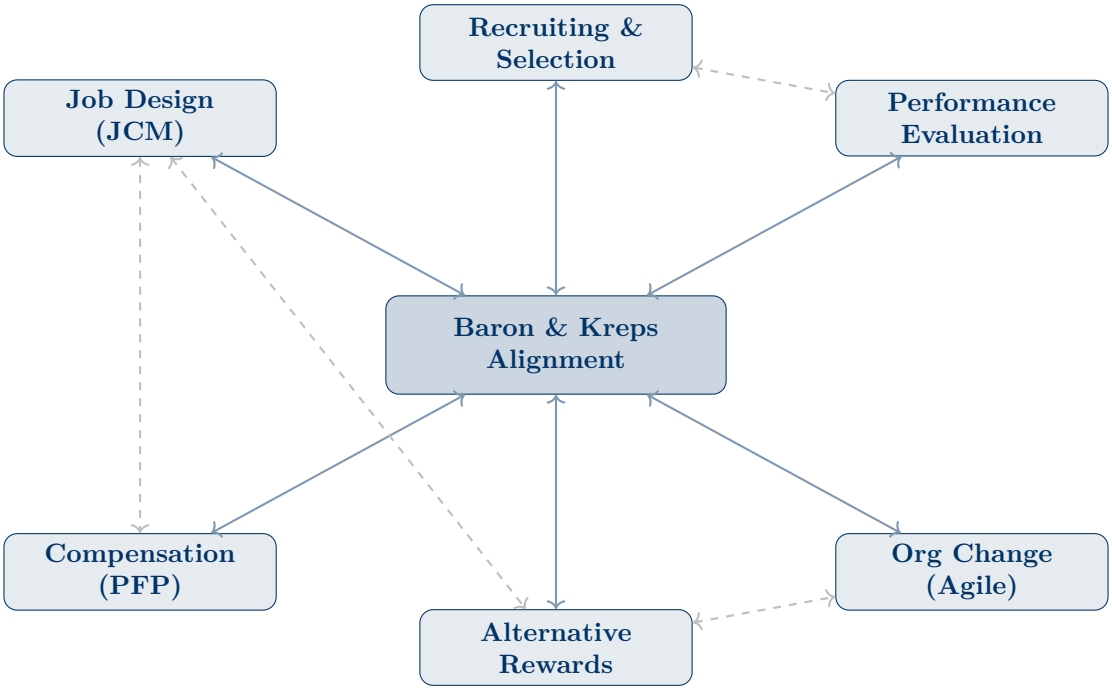
Always evaluate: **(1)** Is layoff the right tool, or are there alternatives? **(2)** What is the impact on survivors? **(3)** Is procedural justice maintained? **(4)** What institutional knowledge is being lost? **(5)** Does the restructuring align with long-term strategy or just short-term cost targets?

Chapter 11

Integrated Frameworks & Exam Strategy

11.1 Master Framework: Connecting Course Concepts

Every case and reading in this course connects back to Baron & Kreps' alignment framework. The diagram below shows how the major concepts relate:



11.2 Cross-Case Comparison Matrix

Case	Primary Theme	Key Framework	HR Approach	Result	Core Lesson
Southwest Airlines	System Design	Baron & Kreps	High alignment, cooperative culture	Sustained profitability	Coherence > best practices
Jennifer Henderson	Job Design	JCM	Low autonomy, low feedback	50%+ turnover	Fix jobs before blaming people
Pirate Organization	Governance	Institutional Design	Democratic, checks & balances	Effective cooperation	Incentive alignment is universal
SG Cowen	Recruiting	Information Asymmetry	Niche strategy, structured process	Mixed hiring outcomes	Align recruiting to market position
Woolworths	Evaluation	PM Politics; JCM	Engineered standards	Employee resistance	Monitoring kills motivation
Safelite	Compensation	PFP Design	Piece-rate + minimum	40% productivity gain	PFP works for measurable output
SAS Institute	Alt. Rewards	JCM; Psych Safety	No PFP; total rewards	4% turnover	Intrinsic motivation can replace PFP
Morning Star	Self-Mgmt	CLOUs; Peer Accountability	Zero managers	High performance	Self-mgmt ≠ no structure
Google Oxygen	Manager Role	8 Behaviors	Data-driven coaching	Improved mgr scores	Coaching > technical expertise
Netflix	Culture	F&R; Top of Market Pay	High freedom, high accountability	Innovation engine	Values = who you reward/fire
ING	Agile	Spotify Model; Orange Code	Big Bang transformation	Agile at scale	Culture + structure must co-evolve
Amazon	Restructuring	Automation; Cascio	Cost minimization via robotics	TBD	Technology redefines alignment

11.3 Exam Application Framework

Universal Analysis Approach for Exam Questions

When presented with a new case or scenario on the exam, apply this structured approach:

Step 1: Identify the Problem

- What symptoms are described? (turnover, low morale, poor performance, resistance to change)
- What is the *root cause*? (misalignment, poor job design, wrong incentives, cultural

dysfunction)

Step 2: Apply Baron & Kreps Alignment Check

- Is the HR system internally consistent?
- Does it align with strategy, workforce, culture, environment, and technology?
- Where are the misalignments?

Step 3: Select Relevant Frameworks

- Job design issue → JCM (compute MPS, identify bottleneck)
- Hiring issue → Information asymmetry, signaling, structured interviews, portability myth
- Evaluation issue → PM Revolution, politics of appraisal
- Compensation issue → Pfeffer's myths, PFP design checklist, cMin vs. iMax
- Culture/motivation issue → Psychological safety matrix, Netflix F&R
- Change management → ING model, McKinsey 4-part change, big bang vs. incremental
- Restructuring → Cascio's responsible restructuring

Step 4: Recommend Actions

- Propose specific, concrete changes tied to frameworks
- Acknowledge trade-offs and implementation challenges
- Reference relevant cases as evidence ("As seen in the Southwest Airlines case...")

Step 5: Identify Risks

- What could go wrong? (Reference red flags and pitfalls from each chapter)
- How would you mitigate those risks?

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